The Office of the Tax Ombud and the Tax Appeal Tribunal Under the Joint Revenue Board of Nigeria (Establishment) Act, 2025: Fundamentals, Functions, Jurisdictional Boundaries and Emerging Issues

ASCOLP — Thought Leadership

I. Introduction

The Joint Revenue Board of Nigeria (Establishment) Act, 2025 ("the JRBA" or "the Act") is one of four statutes that together constitute Nigeria's 2025 tax reform package, alongside the Nigeria Tax Act, the Nigeria Tax Administration Act and the Nigeria Revenue Service Act. The JRBA establishes three distinct institutions within a single instrument: the Joint Revenue Board itself, the Tax Appeal Tribunal ("the TAT" or "the Tribunal"), and, as an innovation without precedent in the prior Federal Inland Revenue Service (Establishment) Act, 2007, the Office of the Tax Ombud ("the Ombud" or "the Office").

This analysis proceeds in four movements: first, an account of the statutory architecture; second, a clause-level treatment of the composition, functions and powers of the Office of the Tax Ombud; third, a comparative examination of the Ombud and the Tribunal directed specifically at the issues of overlapping and uncertain jurisdiction that have already attracted comment from practitioners and commentators; and fourth, a comprehensive paragraph-by-paragraph exposition of the Third Schedule to the Act, which governs the Ombud's procedure.

II. The Statutory Architecture of the Act

Part II to Part IV of the JRBA establish and govern the Joint Revenue Board, a body whose principal function is the harmonisation and coordination of revenue administration across the three tiers of government, including maintenance of a unified Taxpayer Identification Number database and resolution of inter-agency disputes on residency. Part V, comprising sections 23 to 35, establishes the Tax Appeal Tribunal as the adjudicatory body with jurisdiction over tax disputes and controversies. Part VI, comprising sections 36 to 49, establishes the Office of the Tax Ombud as a body corporate distinct from both the Board and the Tribunal, tasked with administrative oversight and complaint resolution rather than adjudication.

It is important, at the outset, to appreciate that the three institutions are creatures of the same Act but are not organised in a single hierarchy. The Board formulates policy and harmonises administration; the Tribunal adjudicates; the Ombud investigates and mediates. Nothing in the Act subordinates one body to another, and, as developed in Part VII below, this horizontal rather than hierarchical structure is the principal source of the jurisdictional uncertainty this analysis addresses.

III. Fundamentals and Composition of the Office of the Tax Ombud

A. Establishment and Corporate Status — Section 36

Section 36 establishes the Office of the Tax Ombud as a body corporate with perpetual succession and a common seal, capable of suing and being sued in its own name and of owning or disposing of property, whether movable or immovable. This is the same corporate architecture conferred on the Board itself under section 3, and it is deliberate: the Ombud is not a department of the Board but an autonomous institution. Section 36(3) requires the Office to maintain its head office in the Federal Capital Territory and at least one branch office in each of the six geo-political zones, a decentralisation requirement that has no equivalent in the Tribunal's zonal structure under section 23(2), which leaves the number and location of TAT zones to be fixed by the Minister by notice in the Federal Government Gazette.

B. Appointment, Qualification and Tenure of the Tax Ombud — Section 37

The holder of the office of Tax Ombud is appointed by the President, on the recommendation of the Minister of Finance, and must be a Nigerian citizen possessing relevant qualifications and at least ten years of cognate experience in taxation, law, accounting, auditing, administration or dispute resolution. The tenure is four years, renewable once for a further four years. Counsel should note the deliberate elevation of this appointment above that of the Chairman or members of the Tax Appeal Tribunal, whose Commissioners are appointed by the Minister alone under section 24(1): the Ombud's appointment by the President is a structural signal of the intended independence and stature of the Office, notwithstanding that its powers, as will be seen, are considerably more circumscribed than those of the Tribunal.

Section 37(2) designates the Tax Ombud as the Chief Executive and Accounting Officer of the Office, a formulation that mirrors the position of the Executive Secretary of the Board under section 10(1)(a) and imports the same accountability obligations, including personal responsibility for the proper keeping of accounts, which is applied to the Ombud's own office by section 47.

C. Cessation of Tenure — Section 38

The grounds on which a person ceases to hold the office of Tax Ombud are enumerated in section 38 and include resignation on notice to the President, incapacity, bankruptcy or compromise with creditors, conviction for a felony or an offence involving dishonesty or fraud, removal by the President on grounds of public interest, a finding of contravention of the Code of Conduct Bureau and Tribunal Act or of gross misconduct, and disqualification from the professional body by virtue of which the person qualified for appointment.

These grounds track closely, though not identically, the grounds for cessation of membership of the Board under section 8 and of a Tax Appeal Commissioner's cessation of office under section 27; the principal point of divergence is that removal of the Ombud is reserved to the President "on grounds of public interest", whereas a Tax Appeal Commissioner may be removed by the Minister "on grounds of public interest or in the interest of the Tribunal".

D. Staff of the Office — Section 39

Unlike the staff of the Tribunal, who are appointed by the Minister under section 33(1), the staff of the Office of the Tax Ombud are appointed by the Office itself, subject only to terms and conditions requiring the Minister's approval under section 39(2). This is a further structural indication of institutional autonomy. Section 39(4) applies the Pension Reform Act to employment in the Office, consistent with the treatment of staff of the Board and the Tribunal, and section 39(5) requires that staff possess relevant qualifications and experience in taxation, law, accounting, auditing, administration or a related field.

E. Oath Administration and Document Authentication — Section 40

Section 40 authorises an officer of the Office to administer oaths and authenticate affidavits, affirmations or declarations for the purposes of the Act, and provides that documents so authenticated are receivable in evidence without further proof of the signatory's signature, seal or official capacity. This is a quasi-judicial evidentiary power that sits uneasily beside the essentially administrative and mediatory character of the Office's substantive functions, and it is the first of several provisions considered in Part VII below as contributing to conceptual overlap between the Ombud and the Tribunal.

IV. Functions and Powers of the Office of the Tax Ombud

A. The Catalogue of Functions under Section 41

Section 41(1) confers on the Office a broad catalogue of powers, the most significant of which, for present purposes, are: the power to serve as an independent and impartial arbiter reviewing and resolving complaints relating to tax, levy, regulatory fee and charges, customs duty or excise matters; the power to review complaints against tax officials and authorities and to resolve them through mediation or conciliation by informal, fair and cost-effective procedures; the power to receive and investigate complaints regarding the actions or decisions of tax authorities, agencies or officials; the power to enter and inspect premises where a tax authority performs any function for the purpose of investigation; the power to invite and examine persons with relevant information; the power to make recommendations to revenue authorities for implementation; the power, remarkably, to institute legal proceedings on behalf of the taxpayer; the power to raise public awareness of taxpayer rights; the power to identify and review systemic and emerging fiscal-policy issues; the power to act as a watchdog against arbitrary fiscal policy and to report such policy to the National Assembly; and the power to issue guidelines, directives or orders for the resolution of complaints or the implementation of recommendations.

Section 41(2) provides, significantly, that the Office shall not charge a fee in the exercise of these functions, underscoring the intended accessibility of the Office to ordinary taxpayers who may lack the resources to litigate before the Tribunal.

The breadth of this catalogue is, on its face, considerable, and it is worth pausing on two of the powers listed. First, the power under section 41(1)(g) to "institute legal proceedings on behalf of the taxpayer" is not qualified by any indication of the forum in which such proceedings are to be brought, nor by any express limitation confining such proceedings to procedural or administrative matters. Read together with the jurisdictional ceiling in section 43, discussed in Part V below, this power appears difficult to reconcile with the Office's express exclusion from determining tax liability or issuing assessments. Second, the power under section 41(1)(j) to act as a watchdog reporting arbitrary fiscal policy to the National Assembly gives the Office a quasi-legislative oversight function that has no counterpart at all in the Tribunal's purely adjudicatory mandate.

B. Conduct Obligations of Ombud Officers — Section 42

Section 42 imposes on officers of the Office, in the exercise of their functions, obligations of utmost good faith, care, skill and diligence; a duty to maintain independence and impartiality; a prohibition on acting where personal interest conflicts with the functions of the Office; a duty to disclose conflicts of interest and to recuse from affected complaints or investigations; a prohibition on making secret profit; a prohibition on accepting gifts or advantages in connection with official duties; and, more unusually, an affirmative duty to publish studies, research, findings, recommendations, insights or proposals concerning matters under the Office's consideration.

This publication duty, found in section 42(g), has no equivalent in the conflict-of-interest provisions applicable to Board members under section 7 or to Tax Appeal Commissioners under section 28, and it appears designed to reinforce the Office's public-facing, transparency-oriented character as distinct from the more conventionally confidential proceedings of the Tribunal, which are addressed by the general confidentiality provisions in sections 51 and 52 of the Act.

V. The Jurisdictional Ceiling: Section 43

Section 43 is, for present purposes, the single most important provision in Part VI of the Act, because it is the provision that is meant to demarcate the Ombud's authority from that of the Tribunal and the ordinary courts. It withholds from the Office jurisdiction to interpret tax legislation, save to the extent that interpretation relates to operational, procedural or administrative issues arising from the application of a tax law; to review or determine any issue that is sub judice before a court or tribunal of competent jurisdiction as at the date the complaint is received; to determine any tax liability or duty, or to issue a tax assessment; and to review a complaint by or on behalf of a tax official concerning a personal grievance relating to that official's own office.

On a plain reading, section 43 is intended to confine the Ombud strictly to matters of administrative fairness — delay, discourtesy, procedural irregularity, maladministration — while reserving to the Tribunal, and ultimately to the Federal High Court and the appellate courts, all questions touching on the substantive interpretation of tax statutes and the quantum of tax liability. In practice, however, the line between an "operational, procedural or administrative issue arising from the application of" a tax law, which the Ombud may consider, and the underlying interpretation of that same law, which it may not, is often impossible to draw with precision, particularly where a taxpayer's grievance is that a provision has been misapplied to their specific facts. This tension is developed further in Part VII below.

VI. Financial and Reporting Framework — Sections 44 to 49

The Office of the Tax Ombud is funded from the Consolidated Revenue Fund as appropriated by the National Assembly, supplemented by take-off grants from the Federal Government, gifts of land, money or property consistent with its statutory objectives, and other accruing moneys, per section 44. The Ombud is required, under section 46, to prepare annual income and expenditure estimates by 30th September of each year for appropriation purposes, and, under section 47, to keep proper accounts audited within six months of each year's end by auditors drawn from the list supplied by the Auditor-General for the Federation. Section 48 requires an annual report to the Minister, who must transmit it to the President and the National Assembly within thirty days, and additionally requires the Ombud to publish a quarterly report within thirty days of each quarter's end, summarising, among other things, systemic and emerging issues identified in the course of the Office's work.

A drafting anomaly deserves express mention here, since it is precisely the kind of internal inconsistency counsel should be alert to when citing the Act. Section 45, headed "Expenditure of the Office of the Tax Ombud", charges to the Ombud's fund, verbatim, "the cost of administration of the Board" and "emoluments and allowances payable to the Executive Secretary and members of the Board", rather than the cost of administration of the Office and the emoluments of the Tax Ombud and staff of the Office. This is, on close comparison, an unamended reproduction of section 15, which governs the Board's own expenditure, and it sits uneasily beside the separate corporate personality conferred on the Office by section 36(2). Taken literally, section 45 would appear to authorise expenditure of the Ombud's statutorily distinct fund on the administration of a different body corporate altogether. This is almost certainly a drafting oversight rather than a considered policy choice, but until corrected by amendment it remains part of the text of a statute that has received Presidential assent, and counsel advising on the funding or accountability of the Office should flag it rather than read past it.

VII. Tax Ombud v. Tax Appeal Tribunal: Issues Arising and the Confusion Over Limits of Power

Commentators writing on the JRBA since its enactment have repeatedly identified the coexistence of the Ombud and the Tribunal, and their unclear relationship to each other and to the ordinary courts, as among the most significant sources of uncertainty in the new dispute-resolution architecture. This Part draws together the principal points of difficulty, situating each in the text of the Act.

A. The Absence of an Express Election-of-Remedies or Sequencing Provision

Nowhere does the Act expressly state whether a taxpayer must exhaust the Ombud's complaint process before proceeding to the Tribunal, whether the two routes are freely electable in parallel, or whether pursuit of one forecloses the other. The Third Schedule, paragraph 1(2), requires only that a complainant may lodge a complaint with the Ombud "if the issue is unresolved by the relevant agencies" — a precondition addressed to the taxpayer's dealings with the tax authority itself, not to any prior or parallel engagement with the Tribunal.

Commentary from Anderson has observed that one of the central criticisms of the Tax Ombud is that it may duplicate the role of the TAT, leading to jurisdictional confusion. While the Tax Ombud focuses on administrative complaints and the TAT on substantive legal issues and quasi-judicial matters, the boundary between these categories is often blurred: in many cases, what begins as an administrative complaint may evolve into a full legal dispute. Without clear rules delineating the roles of both bodies, the risk of duplication or procedural inefficiency is real. Moreover, unlike the TAT, which issues legally binding judgments, the Tax Ombud has no enforcement power, which could reduce public confidence in its ability to deliver meaningful relief. There is also a danger that tax authorities may simply ignore recommendations that are unfavourable to them, especially in the absence of a mechanism to sanction non-compliance or publish defaulters. Critics are also wary that the Tax Ombud may eventually become a symbolic office — used to give the impression of taxpayer protection without the institutional strength to enforce accountability. This concern is not unfounded: similar institutions in Kenya and South Africa suffer the same difficulty.

The Tax Ombud himself has, in public remarks reported by The Punch and by Legal Nigeria, sought to clarify the boundary from the Office's own side. The Tax Ombud has continued to emphasise that the Office is not created to stop the government from collecting taxes or revenue, but rather to ensure that revenue collection is fair, transparent, and grounded in due process. "This is crucial because a just tax system is the bedrock of a modern economy, and voluntary tax compliance grows only where there is institutional trust," said John Nwabueze, Tax Ombud and Chief Executive of the Office of the Tax Ombud.

These public assurances are administratively helpful but are not themselves sources of law, and reliance on them in place of the statutory text is questionable, particularly given that the Act itself is silent on the procedural consequence of a failed Ombud mediation for purposes of any limitation period running against a Tribunal appeal.

B. The Limitation Period Trap

This last point deserves emphasis as a practical hazard. Paragraph 2(2) of the Second Schedule requires a notice of appeal to the Tribunal to be filed within thirty days of the assessment, demand notice, action or decision complained of, subject to the Tribunal's discretion to admit a late appeal on sufficient cause shown. The Third Schedule, by contrast, allows the Ombud up to fourteen days, extendable by seven, merely to complete its investigation, before any recommendation is even issued, and imposes no obligation on the Ombud to advise a complainant of the running of the separate thirty-day Tribunal limitation period.

Nwabueze made this known while addressing journalists at a breakfast meeting in Lagos, noting that the timeline is in line with the provisions of the Joint Revenue Board of Nigeria (Establishment) Act, 2025. He explained that the Tax Ombudsman was established as an independent and impartial body to resolve disputes between taxpayers and tax authorities, while also safeguarding taxpayer rights and promoting fairness and transparency in tax administration. "We will ensure we keep to that timeline of between 14 to

30 days that the law stipulates. We will work with all authorities concerned to dispose of complaints in a timely manner," he said.

A taxpayer who lodges a complaint with the Ombud in the expectation of an administrative remedy, only to find the complaint unresolved or resolved unfavourably after the investigation period has elapsed, risks discovering that the thirty-day window for an appeal to the Tribunal has narrowed or closed in the meantime. Nothing in the Act tolls the Tribunal's limitation period during the pendency of an Ombud complaint. Advising a complainant to pursue the Ombud route should, as a matter of prudence, protect the complainant's position by filing a protective notice of appeal to the Tribunal, or at minimum calendaring the thirty-day deadline independently of the Ombud's own timetable.

C. The Enforcement Deficit and the "Deemed Resolved" Sanction

A further asymmetry concerns enforceability. The Tribunal's awards are, under paragraph 9(2) of the Second Schedule, enforceable as judgments of the Federal High Court upon registration. The Ombud's recommendations carry no equivalent statutory force: paragraph 4 of the Third Schedule requires only that a defaulting agency report its reasons for non-compliance within twenty-one days, following which, if those reasons are unsatisfactory, the Ombud's sole recourse is to refer the matter to the National Assembly or the relevant State House of Assembly for the exercise of oversight functions — a political rather than a judicial remedy. The Anderson commentary cited above makes the same point, observing that the Ombud's recommendations are not enforceable and that revenue agencies may accordingly ignore or delay compliance.

Curiously, the position is reversed as against the complainant. Paragraph 5(3) of the Third Schedule provides that where a party fails to appear before the Ombud when requested, or takes any step impeding the Office's functions or prejudicing a matter before it, the complaint shall be "deemed to be resolved against such party". Applied to a complainant taxpayer, this operates as something close to a default judgment against the very party the Office exists to protect, in a forum that is otherwise expressly non-adversarial and fee-free. Applied to a tax authority, it is difficult to see how a finding "deemed resolved" against a state or federal revenue agency could be enforced any more effectively than an ordinary recommendation, given the absence of any registration mechanism comparable to that available to the Tribunal.

VIII. The Third Schedule: Procedure of the Office of the Tax Ombud, Considered Clause by Clause

Section 49 gives statutory force to the Third Schedule, which is the operative procedural code for the Office. It is organised in five numbered parts, addressed in turn below.

A. Paragraph 1 — Complaints

Paragraph 1(1) permits a complaint to be lodged in writing or through any other means or platform the Office may provide, a deliberately flexible formulation intended to accommodate digital and telephone-based intake alongside conventional written complaints; the launch of a toll-free centre and case-management system reported in mid-2026 appears to be the practical implementation of this sub-paragraph. Paragraph 1(2) imposes the exhaustion precondition already noted above: a complaint may only be lodged if the underlying issue remains unresolved by the relevant agencies, meaning the taxpayer must first have engaged the tax authority directly. Paragraph 1(3) requires the Ombud to review and assess each complaint to determine whether it falls within the Office's jurisdiction and mandate, a gateway screening function that, read with section 43, obliges the Office to make an early determination of whether the complaint is genuinely procedural or administrative in character, or whether it in truth seeks an interpretation of law or a determination of liability that the Office has no power to give.

Paragraph 1(4) categorically excludes anonymous complaints, a safeguard against abuse of the complaint mechanism but one that may deter taxpayers genuinely fearful of reprisal from tax officials, a tension the Act does not otherwise address. Paragraph 1(5) empowers the Office to strike out or disregard a complaint found to be false or misleading in any material respect, and paragraph 1(6) requires that a complaint involving malicious misrepresentation of a criminal character be referred to the appropriate law-enforcement agency rather than pursued within the Office's own process, a sensible allocation of the criminal from the administrative, consistent with the Office's exclusion from criminal or quasi-criminal adjudication.

B. Paragraph 2 — Investigation

Paragraph 2(1) empowers the Office to investigate by engaging the complainant, the relevant officer, or the relevant agency for further information and evidence, and by conducting site visits, interviews or inspections, the latter drawing on the entry and inspection power separately conferred by section 41(1)(d). Paragraph 2(2) fixes the investigation period at fourteen days from receipt of the complaint, extendable by a further seven days where necessary, a total maximum of twenty-one days that, as discussed above, sits uncomfortably close to the thirty-day limitation period governing an appeal to the Tribunal. Paragraph 2(3) provides, importantly, that the conduct of an Ombud investigation does not affect any action taken or to be taken by the relevant revenue or government agency. This means the tax authority is not obliged to suspend enforcement, collection or assessment activity merely because a complaint is under investigation, a further practical reason why a complainant should not treat the Ombud process as a substitute for protecting statutory appeal rights. Paragraph 2(4) requires the Office, where it decides not to investigate a complaint at all, to communicate its reasons to the complainant within seven days of receipt, a modest but useful transparency obligation absent from the Tribunal's own procedure, which contains no equivalent duty to explain a refusal to entertain a matter, though in practice the Tribunal's jurisdiction is less discretionary in the first place.

C. Paragraph 3 — Resolution and Recommendations

Paragraph 3(1) empowers the Office to resolve a complaint by making recommendations either to the relevant agency or to the complainant. Paragraph 3(2) requires that, where the Office considers the complaint to disclose an abuse of office or a breach of procedure, its recommendations be communicated to the relevant tax authority or the persons concerned within fourteen days of the complaint's determination. Paragraph 3(3) addresses the more serious case where the Office has reason to believe an agency has acted beyond its authority, or in a manner warranting criminal proceedings against an officer: the matter is referred to the relevant agency's own authority for action, but if that agency fails to act appropriately within thirty days, the Ombud is empowered to refer the matter onward to the relevant law-enforcement agency. This is a graduated escalation mechanism — internal referral first, criminal referral only on default — that preserves institutional courtesy between the Office and the agencies it oversees while retaining an ultimate sanction, though counsel should note that the sanction remains one step removed from the Office's own hands at every stage.

D. Paragraph 4 — Non-Compliance with Recommendations

Paragraph 4(1) obliges the relevant agency, on receipt of a recommendation, to report back to the Office within twenty-one days, stating its reasons where it does not intend to comply. Paragraph 4(2), as discussed above, provides that where the agency fails to implement a recommendation without satisfactory reasons, the Office's remedy is limited to referral to the National Assembly, or the relevant State House of Assembly, for the exercise of oversight functions. This paragraph is the clearest statutory confirmation that the Office of the Tax Ombud is, by design, a body of persuasion and political accountability rather than a body of binding adjudication, and it is the central reason the Office cannot, and should not, be presented to clients as an alternative to the Tribunal where a binding and enforceable outcome is required.

E. Paragraph 5 — Dispute Resolution Process

Paragraph 5(1) empowers the Office to encourage the parties to a complaint to explore alternative dispute resolution mechanisms, situating the Ombud's own process within the broader universe of ADR rather than as a mechanism apart from it. Paragraph 5(2) imposes reciprocal procedural obligations on the agency's representative, its officers, and the complainant: to appear before the Office when requested; not to take any step impeding or capable of obstructing the Office in the performance of its functions; and not to take any action prejudicing or undermining a matter before the Office. Paragraph 5(3), already flagged above as asymmetrically consequential for a complainant taxpayer, provides that failure to comply with any of these obligations results in the complaint being deemed resolved against the defaulting party. Read together, paragraph 5 is the enforcement backbone of the entire Third Schedule, and it is the provision most likely to generate satellite disputes of its own, since "deemed resolved against a party" is not itself defined, and the Act does not indicate whether such a deeming has any preclusive or estoppel effect on a subsequent Tribunal appeal concerning the same underlying facts.

IX. Conclusion

The Office of the Tax Ombud represents a genuine and, in comparative terms, an ambitious innovation in Nigerian tax administration: an accessible, fee-free, investigative body intended to check administrative overreach and to relieve pressure on the Tribunal and the courts. Its statutory design, however, leaves several important questions unanswered — the sequencing of Ombud and Tribunal remedies, the protection of limitation periods, the enforceability of its recommendations, and, at the level of pure drafting, the correct reading of its own expenditure provision. None of these gaps is fatal to the utility of the Office, but each is a live source of risk for a client who proceeds without full advice, and each is, correspondingly, a matter that commends itself to the close attention of counsel advising in this developing area of practice.